I measured performance of Fib patterns differently than I do other chart pattern types. That's because we're looking for a reversal at the end of the pattern and not an up or down breakout. Therefore, the layout of this chapter is different from most other chapters in this book.

When compared to other non-Fibonacci-based patterns, the above Results Snapshot shows below-average performance for the move after turn D. Failure rates are lower, though, including the delicious 2.6% rate of those failing to see price rise more than 5%. That's exceptionally low (ranking in first place, by the way). It suggests price forms a trend long enough for swing traders to make a profit.

Let's take a tour to see what the pattern looks like.

Tour

Figure 17.1 illustrates a good example of what a bullish butterfly looks like and how it's supposed to behave. I show the butterfly as points XABCD. Price begins a downtrend at F that leads to the start of the butterfly at X. Price bounces up to A in a short move higher, drops just as fast down to B, retraces a portion of the AB move on the way to C, and completes the pattern at D. Volume (E) trends upward in this example.

What I find odd about this butterfly is how compact it looks. Usually the turns are more spread out, but not this time. It's as if the bulls and bears were yanking each other around for control of the stock.

Price bottomed at D and then took off, rising in short order to G. That wasn't the ultimate high, though. The stock found the ultimate high in June 2014 at a price of almost 27 for a potential gain of 50% above the low at D.

If you were a swing trader and butterfly catcher, you had just a few days to buy into the stock after the D bottom before price zipped higher. If you'd planned to sell at the top of the pattern (A), you'd have missed out on a nice and fast move to G.

Let's learn how to find bullish butterflies without going to the zoo.